HSBC Global Investment Research

21 July 2026

Equity Research Report

Hanbell Precise Machinery (002158 CH)

Buy: Sustainable growth prospects

Equities
Machinery

China

- 2026 growth will not be fast, but we see increasing visibility of growth prospects from 2027 and beyond 2030
- Semiconductor business will first register significant growth off a low base; AIDC and industrial heat pump to follow suit
- Maintain Buy rating and TP of RMB38.80

Growth outlook unchanged despite recent stock volatility: Over the past three months, Hanbell's share price has been relatively volatile, in line with other China semiconductor equipment names. The market regards Hanbell as a semiconductor play, mainly because of high expectations of domestic semiconductor market growth driven by AI development and the large market share gain potential in semiconductor vacuum pumps for Hanbell, we believe. We forecast Hanbell's semiconductor vacuum pump revenue to increase from an estimated RMB100m in 2025 to RMB202m in 2026e, which is significant considering this business has been flattish since 2021 for Hanbell. We expect this segment to grow even faster in 2027 as Hanbell completes product certification for more downstream clients for 12-inch equipment, including for memory chips (see *pages 5-6* for more details).

Market size is key: We like Hanbell mainly because it has exposure to several industries with large markets, which should ensure consecutive growth for the next 10 years for the company. While supply shortages of refrigerant compressors for US AIDC do not look as severe (compared to some other equipment), our latest global market forecast of magnetic levitation compressors for data centres is RMB16.9bn in 2028e (*pages 3-4*), which indicates decent growth potential for Hanbell. We think downstream AIDC heat solution providers will not solely rely on Danfoss for magnetic levitation compressor supply and will find second or third suppliers. In addition, while the China industrial heat pump market has grown slower than our expectations in 1H26, but this does not change our long-term investment thesis. Currently, industrial heat pump demand is effectively helping Hanbell to mitigate the weakness in central air conditioning and refrigeration markets. In 1H26, China data centre demand and the industrial heat pump market registered 13.6% and 15.5% y-o-y growth, respectively. We also highlight the potential of Europe's industrial heat pump market (*pages 8-9*).

Maintain Buy; 2026-28 earnings and TP of RMB38.80 unchanged: We make no changes to our 2026-28 net profit estimates and our DCF-based TP remains RMB38.80. The stock is trading at 23.8x 2026e PE and 17.6x 2027e PE, compared with its historical average of 19x since 2016. Our target price of RMB38.80 implies 44.4% upside to the current stock price and we therefore maintain our Buy rating. See key downside risks on *page 11*.

MAINTAIN BUY

TARGET PRICE (CNY)	PREVIOUS TARGET (CNY)
38.80	38.80

SHARE PRICE (CNY)	UPSIDE/DOWNSIDE
26.87	+44.4%

(as of 17 Jul 2026)

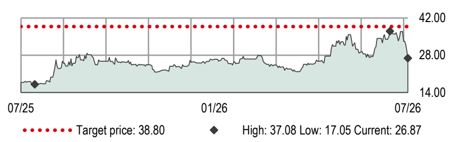
MARKET DATA

Market cap (CNYm)	14368.0	Free float	39%
Market cap (USDm)	2120.2	BBG	002158 CH
3m ADTV (USDm)	88.1	RIC	002158.SZ

FINANCIALS AND RATIOS (CNY)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC QH EPS	0.88	1.13	1.53	2.15
HSBC QH EPS prev	0.88	1.13	1.53	2.15
Change (%)	0.0	0.0	0.0	0.0
Consensus EPS	1.13	1.11	1.36	1.64
PE (x)	30.7	23.8	17.6	12.5
Dividend yield (%)	1.7	2.2	2.9	4.1
EV/EBITDA (x)	19.7	16.1	12.0	8.4
ROE (%)	10.9	13.2	16.4	20.5

52-WEEK PRICE (CNY)



Source: LSEG IBES, HSBC Qianhai Securities estimates

Dun Wang*, CFA, CPA (Reg. No. S1700519060002)
Analyst, A-share Industrials & Renewables Research
HSBC Qianhai Securities Limited
dun.wang@hsbcqh.com.cn
+86 21 5066 2027

Corey Chan* (Reg. No. S1700518100001)
Head, A-share Industrials & Renewables Research
HSBC Qianhai Securities Limited
corey.chan@hsbcqh.com.cn
+86 21 5066 2001

** Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations*

Disclosures & Disclaimer
This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Qianhai Securities Limited

View HSBC Qianhai Securities at:
https://www.research.hsbc.com

Financials & valuation: Hanbell Precise Machinery

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	2926.7	3428.9	4370.7	5586.8
EBITDA	670.5	770.6	1004.8	1379.4
Depreciation & amortisation	-130.8	-100.3	-113.0	-124.6
Operating profit/EBIT	539.7	670.3	891.8	1254.8
Net interest	-19.9	-1.4	14.9	21.1
PBT	519.8	668.9	906.7	1275.9
HSBC Qianhai PBT	519.8	668.9	906.7	1275.9
Taxation	-50.0	-64.4	-87.2	-122.8
Net profit	468.7	603.2	817.6	1150.5
HSBC Qianhai net profit	468.7	603.2	817.6	1150.5
Cash flow summary (CNYm)				
Cash flow from operations	778.5	1390.4	915.3	1227.6
Capex	-416.8	-292.0	-292.0	-292.0
Cash flow from investment	-416.8	-292.0	-292.0	-292.0
Dividends	-240.6	-309.6	-419.7	-590.6
Change in net debt	-341.2	-810.2	-313.7	-516.0
FCF equity	361.7	1098.4	623.3	935.6
Balance sheet summary (CNYm)				
Intangible fixed assets	211.5	201.5	196.3	191.2
Tangible fixed assets	1100.9	1293.4	1477.5	1650.2
Current assets	4207.3	4492.5	5115.7	6018.8
Cash & others	1823.5	2642.6	2956.3	3472.3
Total assets	6252.0	6719.7	7521.9	8592.5
Operating liabilities	1175.4	1270.0	1562.4	1899.5
Gross debt	678.4	687.3	687.3	687.3
Net debt	-1145.1	-1955.3	-2269.0	-2785.0
Shareholders' funds	4372.8	4735.4	5243.3	5974.1
Invested capital	2520.8	2074.9	2270.9	2488.4

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	-20.3	17.2	27.5	27.8
EBITDA	-38.6	14.9	30.4	37.3
Operating profit	-43.6	24.2	33.0	40.7
PBT	-48.6	28.7	35.5	40.7
HSBC Qianhai EPS	-45.7	28.7	35.5	40.7
Ratios (%)				
Revenue/IC (x)	1.2	1.5	2.0	2.3
ROIC	20.6	26.6	37.3	47.9
ROE	10.9	13.2	16.4	20.5
ROA	7.6	9.3	11.5	14.3
EBITDA margin	22.9	22.5	23.0	24.7
Operating profit margin	18.4	19.5	20.4	22.5
EBITDA/net interest (x)	33.7	552.7		
Net debt/equity	-26.0	-41.1	-43.0	-46.4
Net debt/EBITDA (x)	-1.7	-2.5	-2.3	-2.0
CF from operations/net debt				
Per share data (CNY)				
EPS Rep (diluted)	0.88	1.13	1.53	2.15
HSBC Qianhai EPS (diluted)	0.88	1.13	1.53	2.15
DPS	0.45	0.58	0.78	1.10
Book value	8.18	8.86	9.81	11.17

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	4.5	3.6	2.8	2.1
EV/EBITDA	19.7	16.1	12.0	8.4
EV/IC	5.2	6.0	5.3	4.7
PE*	30.7	23.8	17.6	12.5
PB	3.3	3.0	2.7	2.4
FCF yield (%)	2.5	7.6	4.3	6.5
Dividend yield (%)	1.7	2.2	2.9	4.1

* Based on HSBC Qianhai EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a
GHG emission intensity*	n/a
Energy intensity*	n/a
CO_2 reduction policy	Yes
Social Indicators	**12/2025a**
Employee costs as % of revenues	n/a
Employee turnover (%)	n/a
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	9
Average board tenure (years)	3.2
Female board members (%)	11.1
Board members independence (%)	33.3

Source: Company data, HSBC Qianhai Securities

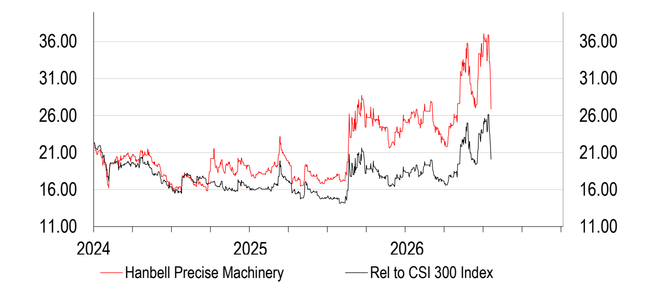
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	26.87
Target price (CNY)	38.80
RIC (Equity)	002158.SZ
Bloomberg (Equity)	002158 CH
Market cap (USDm)	2120.2

Free float	39%
Sector	Machinery
Country/Region	China
Analyst	Dun Wang, CFA, CPA
Contact	+86 21 5066 2027

Price relative



Source: HSBC Qianhai Securities

Note: Priced at close of 17 Jul 2026

A more detailed look at AIDC exposure

The best is yet to come

In 2026, many global leading HAVAC players (see Exhibit 1) stated that data centre cooling has become one of the key drivers of their growth. Some of these HAVAC players, such as Trane or Carrier, have in-house compressor manufacturing capacity but also purchase externally some types of refrigerant compressors. For example, Danfosss has been a popular choice for maglev compressors for a few of these companies (source: Danfoss official website). We think this represents opportunities for specialized compressor makers like Hanbell, especially as next-generation AIDC need high-performance compressors such as maglev compressors or gas-bearing refrigeration compressors.

As most of Hanbell's new products (large capacity maglev compressors, for example) are going through certification and testing process for downstream clients, we believe Hanbell's refrigerant segment can register fast growth in 2027. While we expect Hanbell's centrifugal compressor sales (including maglev compressors) to expand significantly y-o-y in 6M26 (partly driven by data centres and partly by refrigeration or heat pump demand), we note the base is still low and therefore 2026e growth in absolute value will be limited to some extent. We estimate that centrifugal compressors accounted for c10% of its total refrigerant segment revenue in 2025, while the rest were mostly screw compressors.

Exhibit 1. Global leading AIDC HAVAC players and their relationships with Hanbell

	Recent data centre related orders	Relationship with Hanbell
Trane	1Q26 Exceptional CHVAC bookings / revenues, up ~40% / up HSD, respectively. Strong services growth with revs up double digits. 3yr stack revs up ~50% (applied up >80%)	In contact to see if Hanbell can supply maglev compressors for AIDC
Carrier	1Q26 Global CHVAC3 orders up 35%, with data center orders up >500%	Hanbell has been supplying compressors for air conditioning; in contact to see if they can supply maglev compressors for AIDC
York (under Johnson Controls)	Total new orders (inc HAVAC) increased 39% y-o-y in 1QFY26 and 30% y-o-y in 2QFY26. In FY2Q26 in the Americas, organic revenue increased 7%, led by continued strength in Applied HVAC and solid double-digit growth in service	Hanbell has been supplying screw engines for air conditioning; in contact to see if can supply maglev compressors for AIDC;
Vertiv	Global leading liquid cooling solution provider also has subsidiaries that make chillers	Testing and certifying Hanbell's compressors
Teco	Production capacity for its chillers has been upgraded to the thousand-ton class, successfully penetrating the North American market; following a strategic alliance involving a share swap with Hon Hai, the company has engaged in deep collaboration on US AIDC infrastructure	Hanbell will be the major compressor supplier once Teco secures HVAC contracts for US AIDC
Dunham-Bush (under Moon Environment Tech)	US AIDC chiller demand going up and the company is expanding capacity	Hanbell is supplying screw engines for compressor units of US AIDC

Source: Company data, HSBC Qianhai Securities

Size of the compressor market for AIDC

As we stated in our report *Hanbell Precise Machinery (002158 CH): Buy: Investor feedback* (26 Nov 2025), for refrigerant compressors used in data centres, we estimate screw compressors cost cRMB600m per GW and magnetic levitation compressors cost cRMB1-1.5bn per GW (source: 2025 China Compressor Industry Development Yearbook). This estimate was based on our estimated total market size divided by the amount of data centres built in China.

We can use another methodology to cross check if the above estimate make sense. According to the official website of compressor maker XecaTurbo (3 July 2026), for a data centre of 12.5MW total power demand and PUE of 1.25, the cooling system power (mainly refrigerant compressors) is typically 2MW. Therefore, we can assume compressor power load is usually 20% of the total data centre power load. According to data from Tradeindia.com (a compressor trade platform) and Broad USA (a US HVAC service supplier) (13 July 2026), the price of a maglev (magnetic bearing) refrigerant compressor typically ranges from USD500 to USD700 per kW for large industrial chillers. For a data centre of 1GW total power, it would need 200WM of compressors;

if we include redundant back-up compressors, the demand for compressors could go up to 240MW. If we apply a price range of USD500 to USD700 per KW, the total value ranges USD120m-USD168m/GW of total data centre power. So, this value estimate is close to our previous estimates using a different methodology.

According to McKinsey (24 Feb 2026), global new data centre installation is likely to reach 24.1GW in 2028e. If we assume magnetic levitation compressor penetration of 70% and RMB1bn per GW value, the global market for magnetic levitation compressors for data centres could be RMB16.9bn in 2028e. This is a market that is large enough to be attractive.

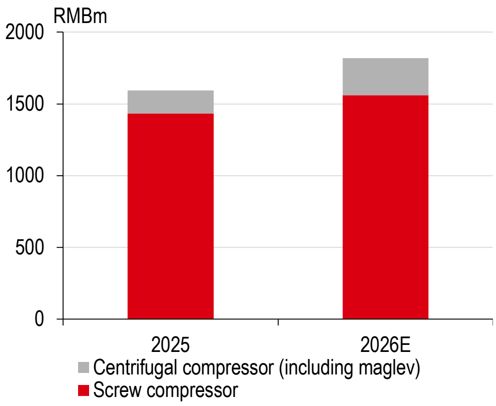
Not perfect, but a decent opportunity for Hanbell
Compared to many other components for AIDC, such as gas turbines, capacitors, memory chips, or large power transformers, the supply shortages of refrigerant compressors do not look as severe yet, and the addressable market is not one of the largest. Many local North America AIDC heat solution providers are able to supply some refrigerant compressors (although not all of them, such as magnetic levitation compressors or screw compressor engines).

Product differentiation matters in this sector. The compressor is the heart of the engine of the chiller for an AIDC, and it's one of the biggest drivers of performance and efficiency. The CEO of Johnson Controls said, at its 2Q26 earning conference on 6 May 2026, that York designs their compressors specifically for applications that require high capacity, precision and reliability like data centres. He said that while much of the industry relies on third-party compressor platforms, York designs and manufactures its own application-specific compressor architectures.

Our estimated global market size for magnetic levitation compressors for data centres is as much as RMB16.9bn in 2028e, and this indicate decent growth potential for the leading players. We think Hanbell will benefit:

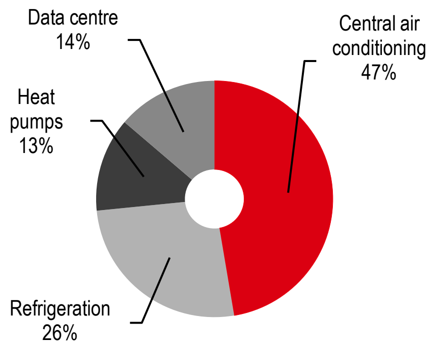
- Downstream AIDC heat solution providers will not solely rely on Danfoss for magnetic levitation compressor supply and will find second or third suppliers. This represents an opportunity for Hanbell.
- Hanbell will continue to supply screw compressor engines to downstream AIDC heat solution providers.

Exhibit 2. Hanbell: Refrigerant compressor revenue breakdown by product type: Centrifugal (inc maglev) contribution small



Source: Company data, HSBC Qianhai Securities estimates

Exhibit 3. Hanbell: Refrigerant compressor segment revenue breakdown by downstream (2026e)



Source: Company data, HSBC Qianhai Securities estimates

Revisiting the semiconductor vacuum pump business

Time to bear fruit

Over the past three months, Hanbell's share price has moved in line with China domestic semiconductor equipment names. Although Hanbell's semiconductor revenue contribution is still small, the market regards Hanbell as a semiconductor play. We think this is because of its leading position and large market share gain potential in semiconductor vacuum pumps.

We forecast Hanbell's semiconductor vacuum pump revenue to increase from an estimated RMB100m in 2025 to RMB202m in 2026e, which is significant considering this business has been flattish since 2021 for Hanbell. We expect this segment to grow even faster in 2027 as it completes product certification for more downstream clients for 12-inch equipment. We think the rapid growth will mainly be driven by:

- Robust downstream domestic equipment demand, driven by rising memory and logic chips demand
- Import substitution trends, such as market share gains in 12-inch equipment
- Demand from outside mainland China, driven by global semi capex increases

Many domestic semi equipment makers are rolling out products like furnace tubes and CVD equipment, and Hanbell is conducting extensive validation for 12-inch processes vacuum pump to align with its clients' capacity expansion plans scheduled for late this year and next year. These validation and sales are facilitated through domestic semiconductor equipment manufacturers that bundle Hanbell's pumps with their systems for processes like etching and deposition. Hanbell has achieved significant breakthroughs in the rigorous process requirements of 12-inch wafer fabs, with deployments underway for metal etching, CVD, and furnace tube processes.

We think Hanbell's revenue is of high quality, as we estimate revenue for selling pumps used for cleaning is roughly equal to that for etching and deposition (which are hard to achieve). It sells far more cleaning vacuum pumps in quantities but with much smaller ASP, and lower quantities of etching and deposition vacuum pump with higher ASP.

Upward capex revision of domestic memory players

As discussed in the report *NAURA Technology (002371 CH): More room to run* (6 July 2026), with the upward capex revision of domestic memory players, domestic semi capex is expected to further increase and benefit equipment makers. In memory, CXMT/YMTC's c8%/c13% global DRAM/NAND share remains well below China's c25%/c30% share of demand (source: company data, TrendForce), leaving significant room for domestic substitution, while the two companies' potential IPO fundraising could support further expansion amid the memory price upcycle. In logic, China's reported plan to expand advanced capacity by c500k wafers before 2030 (Reuters, 25 February 2026), and the USD9.8bn of Dutch lithography imports in 2025 (+3% yoy, but ASP +37% yoy, per GACC statistics) point to a step-up in advanced foundry capex.

Although Hanbell has not confirmed that it sells vacuum pumps directly to memory chip makers, we think Hanbell will benefit from the memory capex cycle through domestic semi equipment makers. We estimate that 50-60% of its semiconductor vacuum pump revenue was generated through domestic equipment suppliers in 2025.

Hanbell's equipment clients include both ACM Research (688082 CH) and AMEC (688012 CH) (source: investor platform, June 2025), which are equipment suppliers for memory chip makers such as CXMT Corporation (688825 CH).

Growing with both domestic and global semi makers

We estimate that, for Hanbell, 50-60% of its semiconductor vacuum pump revenue was generated through domestic equipment suppliers in 2025, while the remainder of the revenue is from downstream end customers or international customers. In China, we see opportunities for Hanbell to generate revenues from both leading semiconductor equipment makers such as Naura, AMEC, Piotech, E-Town and Leadmicro, and leading semi makers such as Hua Hong, SiEn (Qingdao) Semiconductor (A mainland China SOE), and China Resources Microelectronics.

Additionally, we highlight that Hanbell is a supplier for international semi makers such as TSMC, ASE, UMC (source: investor platform, March 2025). Hanbell sells to customers based in Taiwan through its Taiwan plant. Hanbell has been replacing vacuum pumps that have been in service for over a decade at numerous 8-inch fabs in mainland China and Taiwan, covering processes such as ion implantation, CVD, and etching.

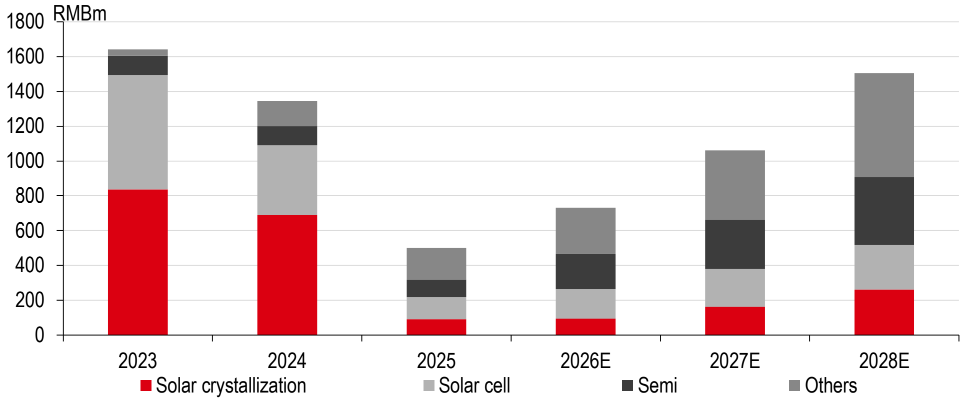
Positive read-across from SKY technology

Hanbell's peer in semiconductor vacuum pumps, SKY technology (920186 CH, RMB81, not rated), was listed on the Beijing stock exchange on 29 April 2026. While the market for semiconductor vacuum pumps is still dominated by foreign brands such as Edwards, Ebara, and Kashiyama, import substitution of vacuum pumps in China semiconductor industry is progressing and SKY technology has become one of the leading China domestic semiconductor vacuum pump suppliers.

We highlight that, even though SKY technology had larger revenue scale in semiconductor vacuum pumps in 2025 than Hanbell, Hanbell has made equally significant progress in certain rigorous processes of semiconductor production, as it has already generated some revenue (source: investor platform, 6 March 2023). "Rigorous manufacturing processes" typically refer to fabrication processes at advanced nanometer-scale nodes (such as 2nm or 3nm) that require extremely strict control over contamination, process variations, and yield.

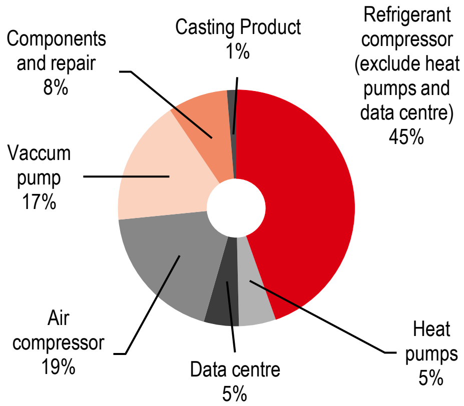
According to SKY tech's investor presentation (12 June 2026), the company has not yet completed product testing and validation for certain intermediate and demanding process steps within advanced manufacturing nodes. To date, it has successfully completed testing and validation for 14 out of the 28 process categories involved in intermediate and demanding steps of advanced manufacturing.

Exhibit 4. Hanbell: Vacuum pump revenue breakdown and forecasts



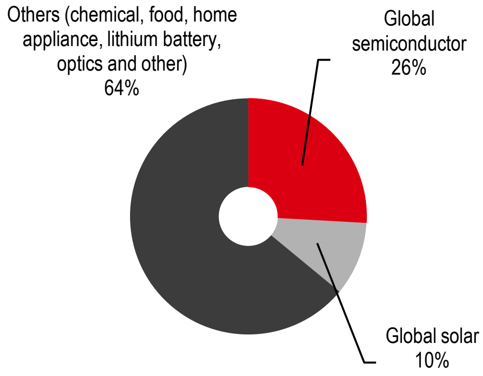
Source: Company data, HSBC Qianhai Securities estimates

Exhibit 5. Hanbell: Revenue breakdown (2025)



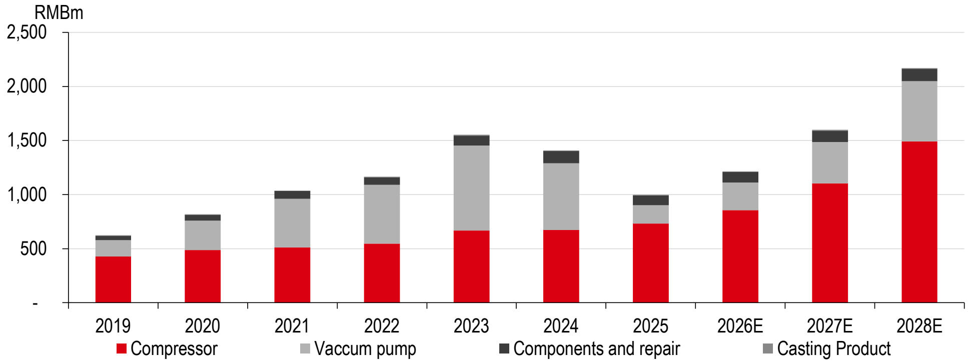
Source: Company data, HSBC Qianhai Securities

Exhibit 6. Global: Vacuum pump market breakdown by downstream (2024)



Source: Precedence Research, prospectus of SKY technology, SEMI, CPIA, HSBC Qianhai Securities estimates

Exhibit 7. Hanbell: Gross profit breakdown by segment and growth outlook



Source: Company data, HSBC Qianhai Securities estimates

Latest outlook on industrial heat pump business

Still positive on long-term demand

We acknowledge that the China industrial heat pump market has not shown the significant growth in 1H26 that we expected, but this does not change our investment thesis. In a pessimistic scenario where China industrial heat pump demand only registers 10-20% CAGR in 2026-30e, industrial heat pump demand would effectively help Hanbell to mitigate the weakness or slow growth in central air conditioning or the refrigeration market. We think the rigid demand of carbon reduction will drive significant growth in the industrial heat pump sector, sooner or later, and will do much more than just mitigating industry headwinds of refrigerant compressors.

According to Wendomedia (15 July 2026), an industry social media and consultancy, China central air conditioner sales registered a 20.3% y-o-y decline in 1H26, after a 20.5% y-o-y decline in 1H25; this is not a surprise given weak China property data. However, chillers that install centrifugal compressors and screw compressors only declined 6.7% and 9.6% y-o-y, respectively. This is because of the strong growth of data centre demand mitigated central air conditioner demand declines. Data centre temperature control air conditioners and industrial heat pumps registered 13.6% and 15.5% growth in 1H26, respectively.

Reasons why China's industrial heat pump demand has not grown significantly

From our research into the China industrial heat pump market, we believe industrial heat pumps represent a large market with immense potential, even larger than we previously estimated. However, for a number of reasons, it has yet to register significant growth. Among the obstacles we listed in our report *Hanbell Precise Machinery (002158 CH): Investor feedback* (26 Nov 2025), we think the difficulty of retrofitting existing projects is a major factor. For the kind of screw compressors and centrifugal compressors that Hanbell supplies, insufficient power capacity (transformers and power substations) is a major obstacle, in addition to the fact that some factories have not allocated enough space for installing industrial heat pumps. Therefore, it is often new factories or new capex by downstream industrial companies that choose to install industrial heat pumps.

The result of this is that the application of industrial heat pumps may not be that fast in the short term, but should grow more sustainably over the next 5 to 10 years.

Additional research on European market

Investors have asked about the potential of industrial heat pumps in markets other than China, and we gave a brief answer to this in our report *Hanbell Precise Machinery (002158 CH): Investor feedback* (26 Nov 2025).

In addition to the growth potential of industrial heat pumps in China, we believe Europe also offers a large opportunity. We estimate an annual average of 5.6GW new installation of large heat pumps in Europe over the next 25 years (including 3.6GW for industrial heat pumps and 2GW for district residential heating/cooling). The total market potential in GW is comparable to that of China. We note that large heat pump system pricing is much more expensive in Europe than in China and this could enlarge the addressable market in monetary terms. We need to follow more closely to see if Hanbell could secure a decent market share. Over 80% of monobloc units and more than 90% of indoor air-to-water heat pumps in Europe were manufactured locally in 2025 (European Heat Pump Association), but most of these residential heat pumps use piston or scroll compressors, not the kind of screw or centrifugal compressors for large heat pumps.

We note that policies in place, such as REPowerEU plan and The European Climate Law, have overarching rules that cover detailed subsidies and supporting policies (such as boiler bans (oil, gas and coal)). However, we believe these are not enough to drive a large expansion of the industrial market, and there is little indication of new policy to support this, particularly in 2026. Most of the focus is still on residential heat pumps. We need to see more aggressive policies going forward (such as tax savings on electricity, as proposed by EHPA – 'Taxation policy for heat pumps', Nov 2025).

The detailed market sizing is as follows:

- According to Heat Pumps in Europe Key Facts & Figures (May 2023), 37% of the industrial process heat is currently below 200°C. To adapt all of that to industrial heat pumps, Europe would need 105 GW of capacity. At 3000 operating hours/year, this means 3.6 GWh of excess heat that is discharged into the environment. (EHPA, Industrial Heat Pumps Can Deliver, 2022, p.1).
- EHPA estimates 105GW total addressable market potential for industrial heat pumps in Europe, and it assumes 25 years of installation. EHPA estimates 3.6GW installation per year, and if we assume EUR1.5bn/GW price, the total annual addressable market could be EUR5.4bn.
- To cross-check EHPA's calculations on industrial heat pumps, we looked at total Europe heat consumption from the industry (An estimation of the European industrial heat pump market potential, a ScienceDirect paper, April 2021). 13516 PJ (Petajoule) translates into 13.5GJ; consider that 37% of heat is below 200°C, total heat replaceable by heat pumps is 5.0bn GJ. Our calculation below indicates that 132.3GW total addressable market is very similar to EHPA's calculation (*Exhibit 8*).

- In addition to industrial heat pumps, the concentrated residential heating market is large. Large heat pumps represent an installed capacity of 2.5 GWth in heating and cooling networks, which is around 1% of the total capacity (source: EHP, Large Heat Pumps in District Heating and Cooling Systems, 2022, p.5; Heat Pumps in Europe Key Facts & Figures, May 2023). These kinds of large systems use more screw compressors and centrifugal compressors. This implies that total district heat pumps have a total addressable market of 250GW. If 20% of the European residential market adopts heat pump central heating/cooling, this would imply a 50GW potential market.

Exhibit 8. Market sizing of industrial heat pumps in Europe

Item	Number	Units	Notes
Potential heating demand of industrial heat pumps in Europe	5.0000	bn GJ	An estimation of the European industrial heat pump market potential (2021)
Implied power consumption	462.96296	bn kwh	Assume 1KWH of electricity transports 3*3.6m joule of energy, or at a coefficient of performance (COP) of 3
Implied total installed capacity of industrial heat pumps	132.3	GW	Assume industrial pumps effectively work 3500 hours annually
Total addressable market of industrial heat pumps	198.4	EURbn	Assume EUR1500/kw total price of industrial heat pumps
Market size of new equipment annual demand on average	7.9	EURbn	Assume it takes 25 years complete installation of all industrial heat pumps in Europe

Source: EHPA, HSBC Qianhai Securities estimates

Valuation and risks

Maintain Buy rating and TP of RMB38.80

We make no changes to our earnings estimates. We continue to use a DCF model to value the stock. Our target price is unchanged at RMB38.80. Our target price implies upside of 44.4% to the current share price and we therefore maintain our Buy rating on the stock.

Our DCF model assumes a WACC of 9.5%. Our key assumptions are unchanged unless indicated and include the following:

- **Cost of equity (COE):** We use a COE of 10.2%. This is derived from a risk-free rate of 4.25%, a market risk premium of 4.75%, and a beta of 1.24.
- **Cost of debt (COD):** We assume the pre-tax cost of debt to be 5.0% and the after-tax cost of debt to be 4.3%. We use our 2026e debt-to-capital ratio of 11.0% as our long-term debt-to-capital ratio.
- **Operating cash flow:** We assume our operating cash flow CAGR (before changes in working capital) to be 8.7% in 2024-37e.
- **Capital expenditure:** We forecast capex of RMB292m in 2026, and RMB292m in 2027. We forecast 2028-37 capex to gradually increase from RMB292m in 2028 to RMB649m in 2037.
- **Terminal growth rate of 2%:** We assume the company will reach a steady growth period after 2037e.

The stock is trading at 23.8x 2026e PE and 17.6x 2027e PE, compared with its historical average of 19x since 2016. We forecast a 34.9% earnings CAGR in 2025-28. Our target price of RMB38.80 implies 44.4% upside to the current share price; we therefore retain our Buy rating.

Exhibit 9. Hanbell: Discounted cash flow valuation

RMBm	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Profit after tax	**868**	**865**	**470**	**605**	**819**	**1,153**	**1,326**	**1,512**
YoY growth		0%	-46%	29%	36%	41%	15%	14%
Add: Depreciation & amortization	122	134	131	100	113	125	161	161
Net finance expense	2	-54	20	1	-15	-21	-23	-26
Operating cash flow before W/C changes	**992**	**945**	**621**	**706**	**918**	**1,257**	**1,464**	**1,647**
Changes in working capital	-202	-870	200	685	-17	-50	-58	-66
Net operating cash flow	**790**	**75**	**820**	**1,392**	**900**	**1,207**	**1,406**	**1,582**
CAPEX	-483	-161	-417	-292	-292	-292	-336	-383
Free Cash Flow	**307**	**-86**	**404**	**1,100**	**608**	**915**	**1,070**	**1,199**
Discount Factor				1.00	0.91	0.83	0.76	0.70
Gross PPE	2,317	2,468	2,488	2,833	3,122	3,411	3,747	4,129
Depreciation Rate	5%	5%	5%	4%	4%	4%	4%	4%
PV of FCF				**1,100**	**556**	**762**	**815**	**833**

RMBm	2031e	2032e	2033e	2034e	2035e	2036e	2037e	Terminal Value
Profit after tax	**1,663**	**1,829**	**1,994**	**2,141**	**2,281**	**2,417**	**2,562**	
YoY growth	10%	10%	9%	7%	7%	6%	6%	
Add: Depreciation & amortization	161	178	195	215	235	257	280	
Net finance expense	-28	-31	-34	-37	-41	-45	-49	
Operating cash flow before W/C changes	**1,796**	**1,976**	**2,155**	**2,319**	**2,475**	**2,629**	**2,793**	
Changes in working capital	-72	-79	-86	-92	-99	-105	-111	
Net operating cash flow	**1,724**	**1,897**	**2,069**	**2,226**	**2,376**	**2,525**	**2,682**	
CAPEX	-421	-463	-505	-542	-577	-612	-649	
Free Cash Flow	**1,303**	**1,434**	**1,564**	**1,684**	**1,799**	**1,912**	**2,033**	**27,583**
Discount Factor	0.63	0.58	0.53	0.48	0.44	0.40	0.37	0.37
Gross PPE	4,551	5,014	5,519	6,061	6,638	7,251	7,899	
Depreciation Rate	4%	4%	4%	4%	4%	4%	4%	
PV of FCF	**827**	**831**	**828**	**814**	**793**	**770**	**748**	**10,145**

Summary of PV (Enterprise Value)	**19,823**
Less: Net debt (incl. perpetual)	951
Equity value	**20,773**
Less: Minority interest	-27
Shareholder Equity Value	**20,746**
Total shares issued by year-end 2026 (m shares)	535
Per share value (RMB)	**38.80**
Assumptions	
Risk-free rate	4.25%
ERP	4.75%
Beta	1.24
Cost of equity = RFR + Beta*ERP	**10.2%**
Cost of debt	5.0%
Income tax	15%
After tax cost of debt	**4.3%**
Debt/Capital	11%
WACC	**9.5%**
Terminal growth	**2%**

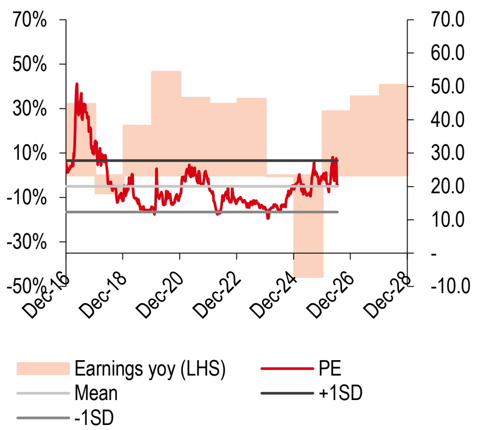
Source: Company data, Wind, HSBC Qianhai Securities estimates

Downside risks

- **Weaker-than-expected data centre and industrial heat pump growth trends:** Should China industrial heat pump demand or global data centre demand growth be lower than expected, we see downside risks to our earnings forecasts.
- **Stronger-than-expected raw material cost inflation.** This could lead to margin compression.
- **Stronger-than-expected competition in the compressor market.** Many new entrants have entered the energy storage temperature control market. Should the competition be stronger than expected, we see downside risks to our earnings forecasts.
- **Weaker-than-expected compressor demand growth in China.** Hanbell has revenue exposure to both refrigerant compressors and air compressors. Lower-than-expected demand for compressors could lead to lower-than-expected results for Hanbell.
- **Weaker-than-expected vacuum pump demand growth.** Hanbell mainly sells vacuum pumps for solar wafer and cell manufacturing and for semiconductor manufacturing. Lower-than-expected demand could lead to lower-than-expected results for Hanbell.
- **Uncertainty in overseas business.** Hanbell has overseas operations in several countries. There could be risks of foreign exchange rate fluctuations and additional tariffs.

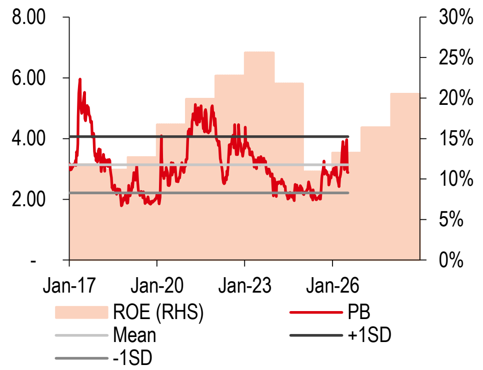
Potential share price catalysts: (1) Announcement of more favourable policies related to industrial heat pumps; (2) positive data on China industrial heat pumps; (3) positive data on AIDC compressor sales; and (4) a quarterly earnings recovery.

Exhibit 10. Hanbell forward PE (x)



Source: Wind, HSBC Qianhai Securities estimates

Exhibit 11. Hanbell forward PB (x)



Source: Wind, HSBC Qianhai Securities estimates

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Dun Wang, CFA, CPA and Corey Chan.

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

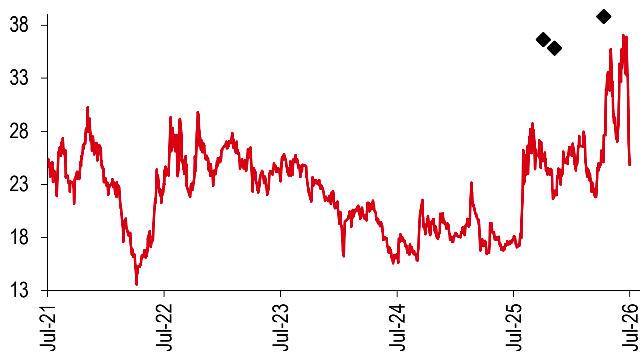
Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see “Stock ratings and basis for financial analysis” above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

Share price and rating changes for long-term investment opportunities

Hanbell Precise Machinery (002158.SZ) share price performance CNY Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	22 Oct 2025	Dun Wang, CFA, CPA
Target price	**Value**	**Date**	**Analyst**
Price 1	36.60	22 Oct 2025	Dun Wang, CFA, CPA
Price 2	35.80	26 Nov 2025	Dun Wang, CFA, CPA
Price 3	38.80	30 Apr 2026	Dun Wang, CFA, CPA

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

Clients of HSBC Private Bank: *www.research.privatebank.hsbc.com/Disclosures*

All other clients: *www.research.hsbc.com/A/Disclosures*

HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
HANBELL PRECISE MACHINERY	002158.SZ	24.81	20 Jul 2026	7

Source: HSBC

1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.

2 HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.

3 At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.

4 As of 30 June 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.

5 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.

6 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.

7 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.

8 A covering analyst/s has received compensation from this company in the past 12 months.

9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.

10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.

11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.

12 As of 10 July 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

13 As of 10 July 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

HSBC and its affiliates will from time to time sell to and buy from customers the securities/instruments, both equity and debt (including derivatives) of companies covered in HSBC Research on a principal or agency basis or act as a market maker or liquidity provider in the securities/instruments mentioned in this report.

Analysts, economists, and strategists are paid in part by reference to the profitability of HSBC which includes investment banking, sales & trading, and principal trading revenues.

Whether, or in what time frame, an update of this analysis will be published is not determined in advance.

Non-U.S. analysts may not be associated persons of HSBC Securities (USA) Inc, and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with the subject company, public appearances and trading securities held by the analysts.

Economic sanctions laws imposed by certain jurisdictions such as the US, the EU, the UK, and others, may prohibit persons subject to those laws from making certain types of investments, including by transacting or dealing in securities of particular issuers, sectors, or regions. This report does not constitute advice in relation to any such laws and should not be construed as an inducement to transact in securities in breach of such laws.

For disclosures in respect of any company mentioned in this report, please see the most recently published report on that company available at *www.hsbcnet.com/research*. HSBC Private Bank clients should contact their Relationship Manager for queries regarding other research reports. In order to find out more about the proprietary models used to produce this report, please contact the authoring analyst.

Additional disclosures

1 This report is dated as at 21 July 2026.

2 All market data included in this report are dated as at close 17 July 2026, unless a different date and/or a specific time of day is indicated in the report.

3 HSBC has procedures in place to identify and manage any potential conflicts of interest that arise in connection with its Research business. HSBC's analysts and its other staff who are involved in the preparation and dissemination of Research operate and have a management reporting line independent of HSBC's Investment Banking business. Information Barrier procedures are in place between the Investment Banking, Principal Trading, and Research businesses to ensure that any confidential and/or price sensitive information is handled in an appropriate manner.

4 You are not permitted to use, for reference, any data in this document for the purpose of (i) determining the interest payable, or other sums due, under loan agreements or under other financial contracts or instruments, (ii) determining the price at which a financial instrument may be bought or sold or traded or redeemed, or the value of a financial instrument, and/or (iii) measuring the performance of a financial instrument or of an investment fund.

5 This report may be a translation of a report authored in another language. If so, and if there is any discrepancy between versions, the original-language version shall prevail.

Production & distribution disclosures

1. This report was produced and signed off by the author on 21 Jul 2026 04:03 GMT.
2. In order to see when this report was first disseminated please see the disclosure page available at https://research.hsbcqh.com.cn/R/34/SzjHKJq

Disclaimer

Issuer of report
HSBC Qianhai Securities Limited
Unit 2201, 22/F, Qianhai Chow Tai Fook Finance Tower (Phase I), No. 66 Shu Niu Avenue, Nanshan Subdistrict, the Shenzhen Qianhai Shenzhen-Hong Kong Cooperation Zone, the PRC
Phone number: +86 755 8898 3288
Website: www.hsbcqh.com.cn

In mainland China, this document is issued and approved by HSBC Qianhai Securities Limited for the information of its clients only; it is not intended for and should not be distributed to retail customers in mainland China. HSBC Qianhai Securities Limited is regulated by the China Securities Regulatory Commission ("CSRC") and is qualified to engage in Securities Investment Advisory Business in mainland China [91440300MA5EPLHG1B]. All inquiries by recipients must be directed to the HSBC Qianhai Securities Limited contact in mainland China. If it is received by a customer of an affiliate of HSBC Qianhai Securities Limited, its provision to the recipient is subject to the terms of business in place between the recipient and such affiliate. This document is being supplied to you solely for your information and may not be redistributed or passed on, directly or indirectly, to any other person, in whole or in part, for any purpose. This document is not and should not be construed as an offer to sell or solicitation of an offer to purchase or subscribe for any investment. HSBC Qianhai Securities Limited has based this document on information obtained from sources it believes to be reliable but which it has not independently verified; HSBC Qianhai Securities Limited makes no guarantee, representation or warranty and accepts no responsibility or liability as to its accuracy or completeness. The decision and responsibility on whether or not to purchase, subscribe or sell (as applicable) must be taken by the investor. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient. Any form of written or verbal commitment on the sharing of gains or losses from the securities investment between the investors and the HSBC Qianhai Securities Limited arising from the research services provided are not permitted and shall be invalid. Expressions of opinion are those of the Research Division of HSBC Qianhai Securities Limited only and are subject to change without notice. From time to time research analysts conduct site visits of covered issuers. HSBC Qianhai Securities Limited and its affiliates and/or their officers, directors and employees may have positions in any securities mentioned in this document (or in any related investment) and may from time to time add to or dispose of any such securities (or investment) to the extent permitted by law. HSBC policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits. HSBC Qianhai Securities Limited and its affiliates may act as market maker or have assumed an underwriting commitment in the securities of companies discussed in this document (or in related investments), may sell them to or buy them from customers on a principal basis and may also perform or seek to perform investment banking or underwriting services for or relating to those companies and may also be represented on the supervisory board or any other committee of those companies. This document may contain hyperlinks to external websites for convenience of its recipients. HSBC Qianhai Securities Limited are not responsible for any content therein.

The Hongkong and Shanghai Banking Corporation Limited owns 90% and Qianhai Financial Holdings Co., Ltd. ("QFH") owns 10% of shares in HSBC Qianhai Securities Limited, which prepared and/or contributed to this research report. HSBC Qianhai Securities Limited has established policies and procedures reasonably designed to prevent QFH from exercising direct or indirect influence over the content of HSBC Qianhai Securities Limited research reports and the choice of companies that will be the subject of research reports. Furthermore, HSBC Qianhai Securities Limited has established additional policies and procedures reasonably designed to prevent any person or entity, whether from within HSBC Qianhai Securities Limited, QFH or otherwise, from influencing the activities of the HSBC Qianhai Securities Limited's research analysts or the content of research reports.

In Hong Kong, this document has been distributed by The Hongkong and Shanghai Banking Corporation Limited in the conduct of its Hong Kong regulated business for the information of its institutional and professional customers; it is not intended for and should not be distributed to retail customers in Hong Kong, unless permitted otherwise. The Hongkong and Shanghai Banking Corporation Limited makes no representations that the products or services mentioned in this document are available to persons in Hong Kong. Any enquiries with respect to any matters arising from, or in connection with, this research report should be directed to the recipient's contact person at The Hongkong and Shanghai Banking Corporation Limited. The analyst(s) named in this research report who is(are) not employed by and/or accredited to The Hongkong and Shanghai Banking Corporation Limited is(are) not licensed to carry on any regulated activities in Hong Kong under the SFO. The analyst(s) is(are) only named in this research report as being a source of the information contained herein and does(do) not purport to carry on any regulated activities in Hong Kong under the SFO or hold himself/herself(themselves) out as being able to do so. The document is intended to be distributed in its entirety. Unless governing law permits otherwise, you must contact a HSBC Group member in your home jurisdiction if you wish to use HSBC Group services in effecting a transaction in any investment mentioned in this document.

In the UK, this publication is distributed by HSBC Bank plc for the information of its Clients (as defined in the Rules of FCA) and those of its affiliates only. Nothing herein excludes or restricts any duty or liability to a customer which HSBC Bank plc has under the Financial Services and Markets Act 2000 or under the Rules of FCA and PRA. A recipient who chooses to deal with any person who is not a representative of HSBC Bank plc in the UK will not enjoy the protections afforded by the UK regulatory regime. HSBC Bank plc is regulated by the Financial Conduct Authority and the Prudential Regulation Authority.

In the European Economic Area, this publication has been distributed by HSBC Continental Europe or by such other HSBC affiliate from which the recipient receives relevant services.

In Japan, this publication has been distributed by HSBC Securities (Japan) Co., Ltd.. It may not be further distributed in whole or in part for any purpose. In Korea, this publication is distributed by either The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HBAP SLS") or The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch ("HBAP SEL") for the general information of professional investors specified in Article 9 of the Financial Investment Services and Capital Markets Act ("FSCMA"). This publication is not a prospectus as defined in the FSCMA. It may not be further distributed in whole or in part for any purpose. Both HBAP SLS and HBAP SEL are regulated by the Financial Services Commission and the Financial Supervisory Service of Korea. In Singapore, this publication is distributed by The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch for the general information of institutional investors or other persons specified in Sections 274 and 304 of the Securities and Futures Act 2001 of Singapore ("SFA") and accredited investors and other persons in accordance with the conditions specified in Sections 275 and 305 of the SFA. Only Economics or Currencies reports are intended for distribution to a person who is not an Accredited Investor, Expert Investor or Institutional Investor as defined in SFA. The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch accepts legal responsibility for the contents of reports. This publication is not a prospectus as defined in the SFA. It may not be further distributed in whole or in part for any purpose. The Hongkong and Shanghai Banking Corporation Limited Singapore Branch is regulated by the Monetary Authority of Singapore. Recipients in Singapore should contact a "Hongkong and Shanghai Banking Corporation Limited, Singapore Branch" representative in respect of any matters arising from, or in connection with this report. Please refer to The Hongkong and Shanghai Banking Corporation Limited Singapore Branch's website at www.business.hsbc.com.sg for contact details. In Australia, this publication has been distributed by The Hongkong and Shanghai Banking Corporation Limited (ABN 65 117 925 970, AFSL 301737) for the general information of its "wholesale" customers (as defined in the Corporations Act 2001). Where distributed to retail customers, this research is distributed by HSBC Bank Australia Limited (ABN 48 006 434 162, AFSL No. 232595). These respective entities make no representations that the products or services mentioned in this document are available to persons in Australia or are necessarily suitable for any particular person or appropriate in accordance with local law. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient.

HSBC Securities (USA) Inc., a US-registered broker-dealer and member of FINRA, accepts responsibility for the content of this research report prepared by its non-US foreign affiliate. The information contained herein is under no circumstances to be construed as investment advice and is not tailored to the needs of the recipient. All US persons receiving and/or accessing this report and wishing to effect transactions in any security discussed herein should do so with HSBC Securities (USA) Inc. in the United States and not with its non-US foreign affiliate, the issuer of this report. HSBC México, S.A., Institución de Banca Múltiple, Grupo Financiero HSBC is authorized and regulated by Secretaría de Hacienda y Crédito Público and Comisión Nacional Bancaria y de Valores (CNBV). In Brazil, this document has been distributed by Banco HSBC SA ("HSBC Brazil"), and/or its affiliates. As required by Resolution No. 20/2021 of the Securities and Exchange Commission of Brazil (Comissão de Valores Mobiliários), potential conflicts of interest concerning (i) HSBC Brazil and/or its affiliates; and (ii) the analyst(s) responsible for authoring this report are stated on the chart above labelled "HSBC & Analyst Disclosures".

If you are a customer of HSBC International Wealth & Premier Banking ("IWPB"), including HSBC Private Bank, you are eligible to receive this publication only if: (i) you have been approved to receive relevant research publications by an applicable HSBC legal entity; (ii) you have agreed to the applicable HSBC entity's terms and conditions and/or customer declaration for accessing research; and (iii) you have agreed to the terms and conditions of any other internet banking, online banking, mobile banking and/or investment services offered by that HSBC entity, through which you will access research publications (collectively with (ii), the "Terms"). If you do not meet the above eligibility requirements, please disregard this publication and, if you are a IWPB customer, please notify your Relationship Manager or call the relevant customer hotline. Distribution of this publication is the sole responsibility of the HSBC entity with whom you have agreed the Terms. Receipt of research publications is strictly subject to the Terms and any other conditions or disclaimers applicable to the provision of the publications that may be advised by IWPB.

[1283040]